

Required Quiz 3.1: Week 3 Quiz

Due Apr 5 at 11:59pm **Points 20** **Questions 20**
Available Mar 23 at 12am - Apr 5 at 11:59pm **Time Limit 30 Minutes**

Instructions

 Learning Outcome Addressed

- Demonstrate the sound understanding of the concept, functions and importance of financial management for a business firm.

It is now time to assess your understanding of the concepts covered so far in this week.

Quiz Instructions

- The time limit for this quiz is 30 mins. Kindly complete and submit this quiz within this time.
- You have only one attempt to answer the quiz.
- The quiz must be attempted by **Sunday, April 05, 2026, by 11:59 PM IST.**
- The correct answers will be displayed after quiz submissions deadline.

Note: This is a graded quiz and counts towards course completion.

This quiz was locked Apr 5 at 11:59pm.

Attempt History

	Attempt	Time	Score
LATEST	Attempt 1	7 minutes	20 out of 20

Score for this quiz: 20 out of 20
Submitted Apr 3 at 10:30am
This attempt took 7 minutes.

Question 1

1 / 1 pts

Perpetual bonds:

- ☒ Have no maturity date
- ☐ Are zero coupon
- ☐ Mature in 1 year
- ☐ Are secured bonds

That's correct!

Question 2

1 / 1 pts

The value of a bond equals:

- ☐ Face value only
- ☐ Present value of principal only
- ☒ Present value of interest + principal
- ☐ Present value of interest only

That's correct!

Question 3

1 / 1 pts

The face value of a bond is also called:

- ☐ Book value
- ☐ Intrinsic value

Correct! →

☐ Market value

☒ Par value

That's correct!

Question 4 1 / 1 pts

Secured bonds are backed by:

☐ Shares

☐ Dividends

☐ Government guarantee

Correct! → ☒ Specific assets

That's correct!

Question 5 1 / 1 pts

Bond valuation is the process of:

Correct! → ☒ Finding intrinsic value

☐ Calculating dividend

☐ Calculating book value

☐ Finding market share price

That's correct!

Question 6 1 / 1 pts

Maturity period refers to:

Correct! → ☒ Time until principal repayment

☐ Issue date

☐ Dividend date

☐ Coupon payment date

That's correct!

Question 7 1 / 1 pts

If coupon rate equals market rate, bond price will be:

Correct! → ☒ Equal to par

☐ Below par

☐ Above par

☐ Zero

That's correct!

Question 8 1 / 1 pts

Callable bonds allow issuer to:

☐ Extend maturity

- ☐ Convert into equity
- ☐ Increase coupon rate
- ☒ Repay before maturity

Correct!

That's correct!

Question 9

1 / 1 pts

A bond selling above face value is:

- ☐ Zero coupon bond
- ☐ Callable bond
- ☐ Discount bond
- ☒ Premium bond

Correct!

That's correct!

Question 10

1 / 1 pts

If market interest rate falls, bond price:

- ☐ Falls
- ☐ Becomes zero
- ☐ Remains same
- ☒ Rises

Correct!

That's correct!

Question 11

1 / 1 pts

Bondholders are:

- ☒ Creditors of company
- ☐ Owners of company
- ☐ Suppliers
- ☐ Employees

Correct!

That's correct!

Question 12

1 / 1 pts

Debentures are:

- ☐ Preference shares
- ☐ Equity instruments
- ☒ Long-term debt instruments
- ☐ Short-term loans

Correct!

That's correct!

Question 13

1 / 1 pts

When market interest rate increases, bond price:

Correct!

- ☒ Decreases
- ☐ Remains constant
- ☐ Doubles
- ☐ Increases

That's correct!

Question 14

1 / 1 pts

A bond is:

Correct!

- ☒ Debt instrument
- ☐ Ownership security
- ☐ Equity instrument
- ☐ Derivative instrument

That's correct!

Question 15

1 / 1 pts

A bond selling below face value is:

Correct!

- ☒ Discount bond
- ☐ Premium bond
- ☐ Convertible bond
- ☐ Secured bond

That's correct!

Question 16

1 / 1 pts

The intrinsic value of a bond depends on:

Correct!

- ☐ Market speculation
- ☐ Number of shares
- ☐ Dividend policy
- ☒ Present value of future cash flows

That's correct!

Question 17

1 / 1 pts

Bond valuation uses which financial concept?

Correct!

- ☐ Matching principle
- ☒ Time Value of Money
- ☐ Conservatism
- ☐ Accounting equation

That's correct!

Question 18

1 / 1 pts

Government bonds are generally:

- ☐ High risk
- ☒ Low risk
- ☐ Moderate risk
- ☐ Equity instruments

That's correct!

Question 19

1 / 1 pts

Current yield of a bond is:

- ☐ Face value / Coupon
- ☒ Coupon / Market price
- ☐ Market price / Coupon
- ☐ Coupon / Face value

That's correct!

Question 20

1 / 1 pts

Inflation negatively affects:

- ☐ Coupon payment
- ☒ Bond price
- ☐ Maturity
- ☐ Face value

That's correct!

Quiz Score: 20 out of 20

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